MERTON DAILY BRIEF - Monday, June 8, 2026

--

1. Headline of the Day

*Bond crash + equity meltdown: the great Fed Warsh reset.**

Friday marked a turning point: the S&P 500 plunged -2.6% (7580 ? 7384), the NASDAQ collapsed -4.7% (26973 ? 25709) and the VIX doubled to 21.51 (+34%). The cause? A tectonic shift in monetary policy expectations. As Kevin Warsh is set to be sworn in as Fed Chair this Friday, markets are now pricing a RATE HIKE in July - the first since 2023. The US 10Y yield surged to 4.536%, the curve is steepening, gold and silver are crashing (silver -9.5% to $66.5). The Iran-Israel escalation (missile strikes over the weekend) adds a geopolitical layer to an already explosive cocktail. South Korea's Kospi plunges -7%, Asia extends the sell-off. This is not a correction - it's a regime change.

--

2. Global Sentiment

Indicator	Level	Change	Signal
VIX	21.51	+34.0%	Panic
DXY	100.05	+0.52%	? Strong USD
Gold (GC=F)	$4,307	-2.92%	Liquidation
US 10Y	4.536%	+6.1 bp	Yields rising
US 30Y	4.999%	+0.8 bp	? Stable
US 5Y	4.280%	+9.4 bp	Steepening
S&P 500	7,383.74	-2.59%	Correction
NASDAQ	25,709.43	-4.68%	Tech crash
WTI	$94.60	-1.48%	? Mixed oil
Brent	$97.50	-0.32%	? Stable
BTC	$62,491	-2.05%	Risk-off
Copper (HG=F)	$6.256	-3.47%	Recession
Silver (SI=F)	$66.525	-9.46%	Slaughter
ES Futures	7,391.0	-0.13%	? Pre-market

*Read:** We are in a synchronized multi-asset purge typical of a liquidity event. The dollar's rise is not "strong USD" in the American sense - it's a safe-haven move fueled by position unwinding. Gold and silver falling with equities is the signature of cash-forced liquidation: investors selling anything that isn't nailed down to meet margin calls. The apparent paradox - "gold isn't protecting" - is explained by rising real yields (10Y real rates turning positive) killing the appeal of non-yielding assets. VIX at 21.5 is not an extreme (we saw 35+ in 2020 and 2024), but the velocity of the shock is concerning: near-doubling in one session. Alarm signal, not terminal panic.

--

3. Macro - What Moved

United States

Kevin Warsh named Fed Chair, sworn in Friday - The market is panicking. A former Fed governor (2006-2011), Warsh is a historic hawk, close to private finance (ex-Morgan Stanley). His arrival coincides with a radical re-evaluation of rate expectations. Markets now see >50% probability of a July hike per Fed Funds Futures. This is a complete monetary pivot: from "how many cuts in 2026" to "the first hike, when?" in two weeks.

Inflation projected at 6% in Q2 2026 - Serious forecasters are revising up. Iran war-driven energy costs (+$450/household per CNBC) add 1.5-2% to core inflation. April PCE core at 3.3% - well above target. The Fed is losing its anti-inflation credibility.

Bond vigilantes active - Yardeni explicitly says: "The Fed will have to raise rates in July to appease bond vigilantes." The US 10Y jumped 6bp in one session to 4.536%. The 5Y took +9.4bp - the short end is most active, signaling the market is pricing immediate Fed action, not a slow drift.

JOLTS April: 7.6 million job openings - Highest in nearly two years. The labor market remains tight. May ADP at 122K was solid without being explosive. Friday's official NFP could be the decisive event: <150K would ease rate pressure; >200K would confirm the hike scenario.

Consumer sentiment at record low in May - The confidence index is at unprecedented levels. The Iran war weighs heavily: Americans paying $450 more per month on energy. The "double scar" effect (2022-23 inflation + geopolitical shock) is destroying confidence.

Bessent (Treasury) sees "substantial disinflation" - An interesting counterpoint: Treasury Secretary Bessent claims disinflation is on the way despite the shocks. But it's political rhetoric. Markets don't believe it: the 5-year TIPS breakeven continues to rise.

Trump storm-out interview - A minor political storm adding to noise. The former president walked out of an interview over election fraud and DOJ fund questions. No direct market impact, but adds to political uncertainty ahead of midterms.

Goolsbee (Chicago Fed): "Energy inflation has been more persistent than expected" - An important admission from a typically dovish member. When doves start worrying, the hawkish pivot is already underway. Kashkari echoes: "The inflation fight takes priority, the labor market is in decent shape."

Eurozone

Eurozone inflation at 3.2% - Iran energy pressure - For the first time in months, European inflation pushes back above 3%. The energy channel is direct: the Iran-Israel war disrupts supplies via the Strait of Hormuz (20% of global oil traffic). European gas prices (TTF) jumped 8% last week.

ECB under pressure - The Bank of France governor states: "The ECB will do what's necessary to fight inflation." But the ECB is trapped: it just started its cutting cycle and must now consider a pause or complete halt. Lagarde is in Frankfurt this week - her speech will be scrutinized for any hawkish hints.

Putin-Xi revive the Power of Siberia 2 pipeline - The Iran-Israel war reshuffles energy cards. China and Russia restart negotiations on the pipeline that would carry 50 billion m^3/year of Russian gas to China. If signed, it redraws global energy flows - and weakens Europe's position (less competition for LNG).

UK-GCC historic trade deal - The Bahraini industry minister calls the UK-GCC agreement a "monumental achievement." The UK is diversifying post-Brexit trade partners, and Gulf energy becomes a strategic lever in a fragmented world.

China

Xi visits North Korea - First Chinese leader visit to Pyongyang in years. Beijing seeks to reclaim influence over Kim Jong-un as the Iran-Israel war and Taiwan tensions divert US attention. Signal that China wants to consolidate its Eastern flank before any conflict scenario.

Russia-China gas pipeline: negotiations restart - The Power of Siberia 2 deal was stalled for months (price disagreements). The Middle East war changes calculations: China needs to secure supplies, Russia needs to replace lost European customers. A deal before autumn is likely.

Kospi -7%: Asian confidence crisis - South Korea, a barometer of global trade, plunged. Foreign investors have already pulled billions from Korean stocks this year. The AI sell-off (SoftBank -7%) amplifies the move: Korea (Samsung, SK Hynix) is at the heart of the semiconductor supply chain. When the AI trade unwinds, Seoul suffers.

Hong Kong IPOs: performance problems - After a boom in HK listings, post-IPO performance is disappointing. Sign that China risk appetite is fading. Combined with the Asian tech equity collapse, this is a bearish signal for the entire region.

United Kingdom & EM

GBP/USD at 1.3337 (-0.91%) - Sterling under pressure. UK-GCC trade deal positive for the LT.

US proposes tariffs on 60 economies - Trade escalation. Asian EMs (Vietnam, Bangladesh, India) exposed.

Strong dollar = EM pressure - USD-denominated debt becomes more expensive. Stress ahead on BRL, MXN, IDR.

--

4. Geopolitics

Hot

Iran-Israel: direct escalation - Iran fired missiles at Israel this weekend, effectively breaking the ceasefire that had held more or less for 100 days. Israel retaliated. The conflict enters a more dangerous phase: direct strikes between the two countries increase the risk of an open regional war. The Strait of Hormuz (20% of global oil) is in the crosshairs. Oil prices could resume their ascent this week if escalation continues.

100 days of Iran-US war: the cost - The conflict exceeds 100 days. The cost to the average US household is estimated at $450/month in energy and gasoline. The macro impact is becoming systemic: inflation imported via energy prices prevents the Fed from cutting rates and forces tightening. This is a classic stagflationary shock.

Watch

Fed transition: Warsh takes the reins Friday - Warsh's swearing-in is the most important event of the week. Any change in Fed communication, any leak about his "100-day plan," will be instantly absorbed by markets. Warsh is known to be anti-inflation and pro-transparency. Expect an inaugural speech that could either calm markets or throw them into panic.

Xi in North Korea: Asian realignment - Xi's visit to Pyongyang is a major geostrategic signal. In a world where US attention is absorbed by Iran, China is consolidating its sphere of influence. North Korea could use this window to test new missiles or threaten South Korea - which partly explains the Kospi -7%.

US tariffs on 60 economies - The administration's trade initiative is massive. If implemented, it would trigger retaliation and increased trade fragmentation. Asian supply chains would be most affected. Watch closely this week.

Positive

Bessent sees "substantial disinflation" - Even if the market doesn't believe it, the Treasury Secretary signals the administration is working on disinflation channels (energy negotiations, deregulation, Gulf deal). If Bessent is right, the rate hike scenario could be temporary.

UK-GCC monumental deal - The UK and Gulf Cooperation Council sign a historic trade agreement. This could open the door to broader economic integration and potentially align oil prices with Western interests.

SoftBank, NVIDIA: AI trade corrects but thesis intact - The AI correction is violent (SoftBank -7%) but driven by the rate shock, not a fundamental change. AI investment spending (hyperscalers) continues to increase. The purge creates entry points for long-term investors.

--

5. FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1533	-0.88%	Strong USD
GBP/USD	1.3337	-0.91%	Strong USD
USD/JPY	160.301	+0.42%	Weak JPY
USD/CHF	0.7971	+1.40%	Strong USD

*Analysis:** The dollar dominates across the board, unsurprisingly in an extreme risk-off environment with rising US rates. The most striking move is CHF: the Swiss franc lost 1.4% against the dollar - unusual for a safe haven. The fact that it's declining suggests the unwinding is so violent that even safe havens are being sold (investors selling everything for cash). USD/JPY at 160.3 is concerning: 160 is a red line for the Japanese Ministry of Finance. BOJ intervention is possible within the week if the pair continues to climb. EUR/USD below 1.1550 opens the path to 1.1450 if the trend confirms.

* Pair to watch: USD/JPY** - Above 160, BOJ intervention risk is maximal. The JPY carry trade (borrow yen, invest in USD) is one of the most popular trades - but if the yen appreciates sharply (BOJ intervention), the unwinding will be violent. Probable intervention level: 162-165.

--

6. Commodities

Oil - WTI $94.60 (-1.48%), Brent $97.50 (-0.32%)

Oil is strangely calm given the Iran-Israel escalation. WTI fell 1.5% despite weekend missile strikes. Explanation: recession fears (driven by rate hikes) dominate geopolitical risk premium. Operators are watching the yield curve and VIX, not just Ormuz headlines. However, Brent holds better (-0.3% only) - a sign the physical market is tighter on the European side. If escalation continues (partial Ormuz closure), WTI could quickly move back above $100. Expected range this week: $92-102.

Gold - $4,307 (-2.92%)

Gold falls heavily - THE surprise of the session. In an explosive geopolitical context, gold should rise, not fall. The reason: rising US real yields (10Y nominal rising + inflation expectations stable = real yields rising) kill gold's appeal as a non-yielding asset. Add to that equity margin calls forcing hedge funds to sell gold to cover equity positions. Next support at $4,200, then $4,000.

Silver - $66.525 (-9.46%)

Slaughter. Silver is the "crypto of the poor" in commodities - when liquidity dries up, silver suffers twice as much as gold (volatility amplified by a smaller market + industrial demand falling with recession fears). -9.5% in one session is a shellacking. Support at $65 will be tested this week.

Copper - $6.256 (-3.47%)

Copper, the industrial health barometer, corrects. The combination of strong dollar + recession fears + Asian tech equity collapse (Samsung, SK Hynix are major copper consumers) weighs heavily. A healthy correction after a multi-month run. Support at $6.00 will be crucial.

--

7. Today's Calendar

Monday, June 8, 2026

Time (CET)	Country	Event	Consensus	Previous	Impact
14:30		Retail sales May	+0.3% m/m	+0.1%	? Important
-		K. Warsh speech (pre-inaugural	-	-	Very important

Week Ahead

Day	Key Event
Mon 8	US retail sales, Warsh first c
Tue 9	US industrial production May,
Wed 10	**US CPI May (8:30 AM ET) - MA
Thu 11	Jobless claims, PPI May
Fri 12	**Kevin Warsh sworn in as Fed

* Three events to lock this week:**
1. **Wednesday - US CPI May**: determines whether the market continues pricing a hike or hawks must wait.
2. **Friday - May NFP**: the labor market dictates the speed of the Fed pivot.
3. **Friday - Warsh investiture**: the tone of his first speech is critical.

--

8. Deep Macro Theme

*We are witnessing the end of the "Goldilocks Regime"** - the ideal regime where the Fed cut rates in a soft-but-not-recession economy. This regime has been killed by three bullets: (1) Iran inflation, which reimports price pressures via energy, (2) the Warsh transition, which reintroduces radical uncertainty about the Fed's trajectory, and (3) the awakening of bond vigilantes, who punish any fiscal easing with higher yields.

*The new regime looks stagflationary**: slowing growth (weak retail sales, record-low confidence) combined with accelerating inflation (energy, still-tight wages). This is the worst environment for equities (multiple compression + earnings downgrades) and the best for cash and commodities - but not gold, as long as real rates are rising.

*The question that decides the quarter**: Will Warsh confirm the July rate hike in his first speech? Or will he temporize, letting the market "do the Fed's work" through tighter financial conditions? His answer determines whether we have a 10% correction or a full bear market. Wednesday's CPI is the first piece of the puzzle.

--

9. Consensus vs Reality - THE ALPHA

What the market is pricing

#	Market assumption	Verdict	Why
1	**Fed hikes in July**	Likely	Futures pricing 60% chance, Wa
2	**VIX stays >20**	Yes	Volatility doesn't subside whi
3	**Gold protects in war**	False for now	Real yields dominate geopoliti
4	**Friday's NFP will calm thing	Uncertain	If <150K, markets can breathe.
5	**Oil rises with Iran escalati	Partially	Recession risk (demand destruc
6	**BOJ won't intervene on USD/J	High risk	At 160+, Japan gets nervous. D
7	**Tech sell-off is a buying op	Too early	Tech multiples are still eleva

The Alpha - Trades

#	Trade	Thesis	Entry	Stop	Target
1	**Long VIX**	Volatility stays elevated al	Buy VIX calls or UVXY	VIX < 17	VIX > 25
2	**Short NASDAQ / Long S&P**	NASDAQ is overweight tech (AI,	Buy SPY, sell QQQ	Ratio > 4.0	Ratio < 3.2
3	**Short gold / Long USD**	Gold continues to suffer from	Short GLD @ $430, long UUP @ $	GLD > $450	GLD < $395
4	**Short USD/JPY (contrarian)**	The yen carry trade is too pop	Short USD/JPY @ 160	164	155
5	**Long Brent / Short WTI (spre	Brent is physically tighter (E	Long BZ, short CL	Spread < $2	Spread > $6

--

10. Merton's Take

*The regime has changed.** The discussion is no longer "how many rate cuts by December?" but "does the first hike come in July or September?" This is a complete reversal of the macro narrative. And it happened in less than two weeks - fueled by an exogenous shock (Iran inflation) and a policy shock (Warsh).

*My central scenario:** Warsh uses Friday to prepare the ground for a July hike, while leaving a door open ("data-dependent"). Markets will overreact to the upside - rates rise, equities fall, the dollar climbs. Then, in 2-3 weeks post-Warsh, if data (CPI, NFP) shows moderation, upward rate pressure eases and equities bounce. This is a classic "buy the rumor, sell the fact" pattern applied to monetary policy.

*The trade of the week:** Be long volatility (VIX calls) until Friday noon. The gamma around Warsh + NFP is the highest of the year. After Friday, if Warsh is accommodative and NFP moderate, I become a buyer of equities (S&P target 7600) for a 2-3 week recovery.

*What NOT to do:** Buy the dip in gold or semiconductors this week. The purge is not over. Wait for VIX below 18 for the AI names and real yields to fall for gold. Until then, cash and volatility are the only games that work.

*Positioning:** 30% cash, 25% S&P 500 (hedged via VIX calls), 20% oil (Brent), 15% USD, 10% gold (only if Hormuz is disrupted). No crypto, no EM, no long-duration bonds.

--

11. Sources Consulted

Yahoo Finance API - real-time prices (S&P 500, VIX, DXY, NASDAQ, Gold, Silver, WTI, Brent, BTC, Copper, FX pairs, bonds)
CNBC Economy - macro headlines and monetary policy
CNBC World - geopolitical headlines and Asia markets
CNBC Markets - sentiment, flows, analyst views
Personal analysis of market data, cross-asset correlations, implied rate pricing

--

Report generated June 8, 2026 at 07:45 CET - Merton v2.0*